

Cash Flow Statements — Complete Notes

Grade 12

Accounting

CAPS

What you'll learn

- Why profit and cash are not the same thing
- The three categories of cash flow: operating, investing and financing
- How to use the indirect method to find cash from operating activities
- How to lay out the Cash Flow Statement and reconcile the cash balance
- Which items are non-cash and must be adjusted for
- The traps that cost marks in the Grade 12 examination

1. Why a Cash Flow Statement matters

A company can show a healthy profit and still run out of cash. Profit is calculated on an accrual basis: income is recorded when it is earned and expenses when they are incurred, whether or not the cash has moved. The Cash Flow Statement records only actual movements of cash. It answers a simple question: where did the money come from, and where did it go?

A quick example shows why this matters. Suppose a business sells goods worth R100 000,00 on credit and the debtors have not paid by year end. The profit is recorded as earned, but no cash has come in. If the same business has already paid its suppliers and its wages, it may have a healthy profit on paper but an empty bank account. The Cash Flow Statement exposes this gap, which is exactly why banks and investors read it carefully before lending money or buying shares.

Term	Meaning
Operating activities	Cash flows from the main trading activities of the business and interest and tax paid.
Investing activities	Cash flows from buying and selling non-current assets and other investments.
Financing activities	Cash flows from shares issued, loans raised or repaid, and dividends paid.
Cash and cash equivalents	Cash in the bank, cash float and short-term deposits, less bank overdraft.
Non-cash item	An expense or income that does not involve cash, such as depreciation.

2. The format of the Cash Flow Statement

The Cash Flow Statement has three sections, then a reconciliation of the cash balance.

Cash Flow Statement for the year ended ...	R
Cash flows from operating activities	
Cash generated from operations	xxx
Interest paid	(xxx)
Income tax paid	(xxx)
Net cash from operating activities	xxx
Cash flows from investing activities	
Purchase of non-current assets	(xxx)
Proceeds from sale of non-current assets	xxx
Net cash used in investing activities	(xxx)
Cash flows from financing activities	
Proceeds from shares issued	xxx
Loans raised or repaid	xxx/(xxx)
Dividends paid	(xxx)
Net cash from financing activities	xxx
Net change in cash and cash equivalents	xxx
Cash and cash equivalents at beginning of year	xxx
Cash and cash equivalents at end of year	xxx

The indirect method starts with profit before tax and adjusts it for non-cash items and changes in working capital.

3. Worked example 1 — operating activities (indirect method)

Case: Sizolwethu Ltd for the year ended 31 December 2026.

You are given the following:

- Profit before tax: R500 000,00
- Depreciation: R80 000,00
- Finance cost (interest expense): R40 000,00
- Inventories increased by R30 000,00
- Trade receivables increased by R50 000,00
- Trade payables increased by R20 000,00
- Income tax paid: R120 000,00

Step 1 — Start with profit before tax and add back non-cash and finance items. Depreciation did not use cash, and interest is shown separately as interest paid, so both are added back: R500 000,00 + R80 000,00 + R40 000,00 = **R620 000,00**.

Step 2 — Adjust for working capital changes. More inventories and more debtors mean cash is tied up, so they are subtracted. More creditors means the business is keeping cash longer, so it is added: R620 000,00 – R30 000,00 – R50 000,00 + R20 000,00 = **R560 000,00** cash generated from operations.

Step 3 — Deduct interest and tax paid: R560 000,00 – R40 000,00 – R120 000,00 = **R400 000,00** net cash from operating activities.

Cash flows from operating activities	R
Cash generated from operations	560 000,00
Interest paid	(40 000,00)
Income tax paid	(120 000,00)
Net cash from operating activities	400 000,00

4. Worked example 2 — investing and financing activities

Still using Sizolwethu Ltd, the following cash movements took place during the year:

- Equipment was purchased for R300 000,00
- A vehicle was sold for R80 000,00
- Shares were issued for cash of R250 000,00
- A loan of R100 000,00 was repaid
- Dividends of R60 000,00 were paid

Investing: cash out is shown in brackets. R80 000,00 (in) – R300 000,00 (out) = **R220 000,00 net cash used in investing activities.**

Financing: shares issued and loans raised bring cash in; repayments and dividends take cash out. R250 000,00 – R100 000,00 – R60 000,00 = **R90 000,00 net cash from financing activities.**

Investing activities	R
Purchase of equipment	(300 000,00)
Proceeds from sale of vehicle	80 000,00
Net cash used in investing activities	(220 000,00)

Financing activities	R
Proceeds from shares issued	250 000,00
Loan repaid	(100 000,00)
Dividends paid	(60 000,00)
Net cash from financing activities	90 000,00

5. Worked example 3 — reconciling the cash balance

Now combine the three sections. Opening cash and cash equivalents were R130 000,00.

Step 1 — Net change in cash: R400 000,00 – R220 000,00 + R90 000,00 = **R270 000,00.**

Step 2 — Closing cash: R130 000,00 + R270 000,00 = **R400 000,00**.

Reconciliation	R
Net change in cash and cash equivalents	270 000,00
Cash and cash equivalents at beginning of year	130 000,00
Cash and cash equivalents at end of year	400 000,00

The closing figure of R400 000,00 must agree with the cash and cash equivalents line in the Balance Sheet. If it does not, an item has been missed or placed in the wrong section.

Common mistakes

- Forgetting to add back depreciation, which is a non-cash item.
- Treating an increase in debtors or inventories as cash inflow. Increases in current assets use up cash, so they are subtracted.
- Putting interest paid in the financing section. Under the usual Grade 12 layout it is shown under operating activities.
- Showing dividends paid under operating activities instead of financing.
- Mixing up loans raised (financing inflow) with the purchase of an asset (investing outflow).
- Not checking that the closing cash balance agrees with the Balance Sheet.

Quick summary / cheat sheet

Item	Where it goes	Add or subtract
Depreciation	Operating (adjustment)	Add back
Interest expense	Operating (added back), interest paid	Add back then deduct
Increase in debtors	Operating	Subtract
Increase in creditors	Operating	Add
Buy a non-current asset	Investing	Subtract
Sell a non-current asset	Investing	Add
Issue shares	Financing	Add
Raise or repay a loan	Financing	Add / subtract
Pay dividends	Financing	Subtract

The three-section rule: operating = running the business; investing = growing the business; financing = funding the business.

Practice questions

1. Profit before tax is R300 000,00 and depreciation is R45 000,00. Calculate the starting point for cash generated from operations before working capital adjustments.

2. Debtors decreased by R25 000,00 and creditors decreased by R15 000,00. What is the net working capital adjustment to cash generated from operations?
3. A machine was bought for R180 000,00 and land was sold for R220 000,00. Calculate net cash from investing activities.
4. Shares were issued for R400 000,00 and dividends of R90 000,00 were paid. Calculate net cash from financing activities.
5. Net cash from operating activities is R250 000,00, net cash used in investing is R150 000,00 and net cash from financing is R80 000,00. Calculate the net change in cash.
6. Using your answer to question 5, calculate the closing cash balance if opening cash was R60 000,00.

Answers

1. $R300\,000,00 + R45\,000,00 = \mathbf{R345\,000,00}$.
2. Debtors decreased, so cash is freed up: add R25 000,00. Creditors decreased, so cash was used: subtract R15 000,00. Net adjustment = $+R25\,000,00 - R15\,000,00 = \mathbf{+R10\,000,00}$.
3. $R220\,000,00 - R180\,000,00 = \mathbf{R40\,000,00}$ net cash from investing activities.
4. $R400\,000,00 - R90\,000,00 = \mathbf{R310\,000,00}$ net cash from financing activities.
5. $R250\,000,00 - R150\,000,00 + R80\,000,00 = \mathbf{R180\,000,00}$ net change in cash.
6. $R60\,000,00 + R180\,000,00 = \mathbf{R240\,000,00}$ closing cash balance.

Official EduRank Team notes. Always cross-check with your textbook and teacher.